had on many occasions asked India to continue the bilateral dialogue on other issues even as they worked to sort out the recent border dispute. India, however, made it clear that till status quo is restored on the Ladakh border for all the areas involved in the May 2020 confrontation, relations with China, as Jaishankar put it, "remain abnormal". Delhi was aware that on both Depsang and Demchok, China was following a duplicitous policy of troop and infrastructure build-up, fortifying its position there, even while engaging in border talks with India (see accompanying story *The Chinese Duplicity*). "While dealing with China, strategic patience is the game, and the Modi government has shown it has the staying power to do so. It is on the right track," says Gautam Bambawale, a former Indian ambassador to China.

In response to the Chinese build-up, the Modi government has also been strengthening its border road infrastructure and amassing troops to deter any further Chinese aggression. It has also resorted to economic measures like banning Chinese apps such as TikTok, minimising the granting of government contracts to Chinese-owned companies and, more recently, introducing licences for the import of laptops and other electronic items to cut down on Chinese-make inflow to India. India's economic deterrence, though, can only be limited because it relies heavily on cheap Chinese imports, particularly in the pharmaceutical and electronics sectors. In fact, the largest share of India's imports comes from China, estimated to be around 14 per cent in 2022-23, with the trade deficit ballooning to $83.2 billion as India's exports to China dipped by 28 per cent to $15.3 billion in the same period, constituting just 0.5 per cent of China's imports. India's total trade with China was $114 billion, making it our second biggest trading partner after the US.

THE US FACTOR

It is not just India that is facing new forms of Chinese aggression. The 2023 map that Beijing released also claimed swathes of features in the West Philippine Sea and the Nine-dash line, which saw protest by both the Philippines and Vietnam. Malaysia, too, objected to the map's claims in the South China Sea that transgressed Malaysian maritime zones. China also upped the ante in its claim over Taiwan not only cartographically but also by flying jets and bringing its naval fleet threateningly close to the island-nation. The US has been increasingly concerned about China's hostile intentions and its growing ambitions to pose not just an economic challenge to the US but also a military one in Asian territories that are of core interest to Washington. President Biden expressed his disappointment over Xi's decision not to attend the G20 as he was hoping to corner the Chinese supremo on some key issues—both international and domestic.

Ashok Kantha, a former Indian ambassador to China, attributes Xi's growing territorial ambitions for China to his grand national strategy of strengthening national security in every domain—at the border, at sea, on land, in the air and even in cyberspace. "China would like to be the premier power in the Asia Pacific," says Kantha. Ultimately, Xi wants to challenge US predominance on the world stage. Under him, China has extended its sphere of influence not just across Asia but also into Africa and parts of Latin America. The Belt and Road Initiative (BRI) has seen China fund a string of infrastructure projects in many countries, including in India's neighbourhood, spending close to $1 trillion to do so. The country is also trying to reduce the salience of MDBs like the IMF and World Bank by setting up the New Development Bank (NDB) under the aegis of BRICS and the Asian Infrastructure Investment Bank (AIIB), though the portfolios of the latter two are much smaller. At the recent BRICS summit, China took the initiative of expanding its membership by six countries. Seventeen other countries are also seeking BRICS membership and China clearly wants to build it as an alternative grouping that will help it expand its sphere of influence.

The US, meanwhile, has moved to contain China on several fronts. Just as it did for India, Covid-19 also exposed the US economy's overdependence on China, especially for critical technology like semiconductor chips and pharmaceutical imports. Disrupted supply chains also showed over-reliance in sectors like automobiles and household appliances. US trade with China was close to $690 billion in 2022 and the deficit as much as $382 billion. Since delinking its economy from China would be self-defeating for the US, it is adopting a derisking strategy. Among the measures taken to reduce its dependence on China



MEETING GROUNDS
Modi at the BRICS meet in South Africa, Aug. 23; and at the Quad summit in Japan, May 20